



FIFTH GENERATION
ADVISERS

Methodology

How we value uranium mining companies

DOCUMENT

Valuation Methodology Guide: Durrett 10-factor scorecard and sum-of-the-parts

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APPLIES TO

Fifth Generation Advisers Company Review reports (U3O8, USD)

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1. Purpose and Scope

This document describes how Fifth Generation Advisers values uranium mining and development companies in its Company Review reports. Each review combines two parts: the Don Durrett 10-factor scorecard, and a sum-of-the-parts (SOTP) valuation that discounts each project's plausible pounds of U3O8 to a present value and adds balance-sheet items.

The reports are general and impersonal. Per-share values are illustrative outputs of stated assumptions at flat uranium prices. They are not price targets, forecasts or personalized advice.

Source of method. Method adapted from How to Invest In Gold and Silver - D. Durrett: <https://a.co/d/01XVxUfE>. Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett; the constants, scores and weightings applied here are our own.

Workflow for every report

- **Research.** Latest technical reports, stock price, share count, options, warrants, convertible debt, metal prices and news.
- **Verify technical reports.** Pull reserve and resource tables from NI 43-101 or S-K 1300 reports; flag any report older than three years.
- **Cross-reference filings.** Compare against the latest 10-K Item 2 (US filers) or AIF (Canadian filers); investigate differences above 5%.
- **Validate resource categories.** Confirm reserves are a subset of measured and indicated resources, then remove double counting.
- **Verify fully diluted shares.** Rebuild the count from basic shares, options, warrants, RSUs and convertibles, and reconcile to the company figure within 1%.
- **Score, value, audit.** Apply the 10-factor rubric, run the SOTP, test sensitivities and assign a Data Quality Score.

2. Definitions

TERM	DEFINITION
P&P	Proven and probable reserves: the economically mineable part of measured and indicated resources. Reserves are recoverable pounds.
M&I total	Measured plus indicated resources as published. Resources are contained pounds, not recoverable.
M&I ex-reserves	M&I total minus P&P, when the company reports resources inclusive of reserves. Prevents counting reserve pounds twice.
Inferred	Lowest geological confidence category. Speculative and not usable in a feasibility study.
Plausible pounds	Our probability-weighted pounds: P&P, M&I ex-reserves and inferred, each multiplied by a confidence weight (Section 3). Not a category recognized under SEC S-K 1300 or NI 43-101.
Attributable	Plausible pounds multiplied by the company's ownership percentage in the project.
AISC	All-in sustaining cost per pound, taken from the latest study or built from company cost guidance. Each report shows how it was derived.

TERM	DEFINITION
Padded AISC	AISC multiplied by 1.3. The 30% pad covers cost inflation and items outside reported AISC, including a tax provision.
Stage factor	Multiplier on project NAV reflecting development risk (Section 5).
NAV	Net asset value of a project: stage-weighted present value of margin on its plausible pounds.
SOTP	Sum of the parts: project NAVs plus or minus balance-sheet items, divided by fully diluted shares.
Fully diluted shares	Basic shares plus options, warrants, RSUs and PSUs, plus convertible securities where conversion is likely.

Table M1. Definitions used throughout the reports.

3. Plausible Pounds

Mining companies publish resources in categories of different confidence. A single total would treat a measured pound the same as an inferred pound. The plausible-pound calculation weights each category by how much of it we expect to become economic.

$$\text{Plausible} = \text{P\&P} \times 0.90 + (\text{M\&I} - \text{P\&P}) \times 0.65 + \text{Inferred} \times 0.30$$

$$\text{Attributable} = \text{Plausible} \times \text{ownership \%}$$

CATEGORY	WEIGHT	RATIONALE
Proven and probable reserves	0.90	Economics demonstrated in a technical study; a 10% haircut for execution, recovery and grade reconciliation risk.
Measured and indicated, excluding reserves	0.65	Well-defined but not yet shown to be economic; roughly two-thirds expected to convert.
Inferred	0.30	Geological confidence is low; only about a third is expected to convert.

Table M2. Client constants. These replace the agent defaults in the Durrett 2.2 specification (1.0 / 0.75 / 0.5) and are fixed for all reports.

Worked example: NexGen Rook I

STEP	CALCULATION	RESULT (Mlb)
Reserves	239.6×0.90	215.6
M&I ex-reserves	$(256.7 - 239.6) = 17.1; 17.1 \times 0.65$	11.1
Inferred	80.7×0.30	24.2
Plausible (100% owned)	$215.6 + 11.1 + 24.2$	251.0

For partly owned projects, the result is multiplied by ownership. Paladin's Langer Heinrich: $77.5 \times 0.90 + 13.85 \times 0.65 = 78.8$ Mlb, and $78.8 \times 75\% = 59.1$ Mlb attributable.

Rules that keep the calculation honest. Figures are never estimated from thin air: unverified numbers are marked (prov.). Where a company reports only company-presentation figures rather than a technical report, the report says so. Resources and reserves are checked so that P&P never exceeds M&I total.

4. Project Cost and Margin

Each project's margin per pound is the scenario uranium price minus padded AISC. The pad is applied to AISC, not to price, so every dollar of cost uncertainty reduces margin directly.

$$\text{Margin per lb} = \text{U3O8 price} - 1.3 \times \text{AISC}$$

- **Scenario prices.** \$85, \$100 and \$150 per lb, flat for the entire life of every project. No escalation and no mean reversion.
- **AISC source.** Technical-report AISC where available; otherwise company cost guidance plus stated assumptions (stockpile, royalty, sustaining capital). Derivations are shown under each Table 4.
- **After-tax proxy.** The 1.3x pad is intended to include a tax provision. Reports do not model corporate income tax separately.
- **Example.** NexGen: AISC \$12.31 x 1.3 = \$16.00 padded; at \$100, margin is \$84.00 per lb.

5. Project Stage Factors

The stage factor is the main way development risk enters the model. A producing mine keeps its full NAV; a project that has only a preliminary assessment keeps 40%. This replaces the higher discount rates that the Durrett specification applies to earlier stages, which keeps the discount rate the same for all projects and puts the risk adjustment in one visible place.

STAGE	FACTOR	TYPICAL TRIGGER
Concept / grassroots exploration	0.20	Target without defined resource
Discovery	0.30	Initial resource drilling
Resource definition and PEA	0.40	Resource and preliminary economic assessment only
Pre-feasibility and feasibility	0.60	Pre-feasibility or feasibility study complete
Development and construction	0.80	Construction underway
Production (ramp-up)	1.00	Producing, not yet at steady state
Production (steady-state)	1.10	Ramp-up complete; used in sensitivities
Depletion / closure	0.80	Late-life or closure

Table M3. NAV multiples by stage from the Durrett 2.2 specification.

Applying the stages

- **Stage inference.** Producing: Production. Construction underway: Development and Construction. Feasibility complete: Pre-feasibility and Feasibility. Defined project: Resource Definition and PEA. Otherwise exploration.
- **Client instructions.** Projects classified as pre-feasibility or PEA-only use 0.40, except where we direct otherwise. Dewey-Burdock is carried at 0.60 by client instruction.
- **Examples.** NexGen Rook I 0.80 (licensed and under construction); UEC Roughrider 0.40 (initial assessment only); Paladin PLS 0.60 (feasibility study complete, no financing).
- **Timing factor for upside tests.** Used when reviewing the Upside Potential score: more than 5 years to production 0.3; 3 to 5 years 0.5; 1 to 3 years 0.8; under 1 year 1.0.

6. Discounting and NPV

Each project's plausible pounds are spread evenly over its mine life. Each year's margin is discounted at a flat 5% from today, using mid-year timing, and the total is multiplied by the stage factor.

$$\text{NAV} = \text{Stage} \times \text{SUM over years} \left[\left(\frac{L}{N} \right) \times \left(\frac{P - 1.3 \times \text{AISC}}{(1.05)^t} \right) \right] \text{ t = start (yrs) + year number} - 0.5$$

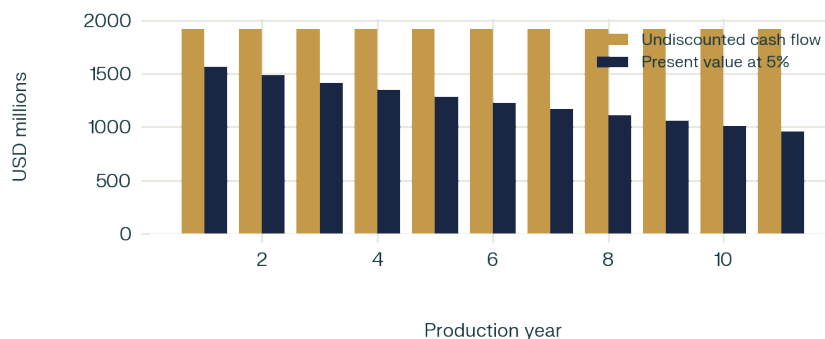
- **L** is attributable plausible pounds; **N** is mine life in years; **P** is the scenario price.
- **Mid-year timing** assumes cash arrives on average halfway through each year, so the first production year is discounted by start plus 0.5 years.
- **Flat 5%.** The same rate is used for all projects and all stages. Risk is carried by the stage factor and the cost pad, not by the rate.
- **Even production profile.** Pounds are spread evenly. Real mines ramp up, which would shift some value later; we do not model ramp curves.
- **Start dates and lives.** Taken from company schedules where published; otherwise assumptions, always labeled in Table 4. Life may be extended beyond the reserve plan so that plausible pounds are fully carried.

Worked example: NexGen Rook I at \$100

Inputs: 251.0 Mlb over 11 years (22.82 Mlb per year), start 3.7 years, padded margin \$84.00 per lb, stage 0.80.

Year	t (yrs)	Discount factor	Cash flow (\$M)	PV (\$M)
1	4.2	0.8147	1,917	1,562
2	5.2	0.7759	1,917	1,487
3	6.2	0.7390	1,917	1,416
4	7.2	0.7038	1,917	1,349
5	8.2	0.6703	1,917	1,285
6	9.2	0.6383	1,917	1,223
7	10.2	0.6080	1,917	1,165
8	11.2	0.5790	1,917	1,110
9	12.2	0.5514	1,917	1,057
10	13.2	0.5252	1,917	1,007
11	14.2	0.5002	1,917	959
Total			21,083	13,619

Table M4. Cash flow of \$1,917M per year (22.82 Mlb x \$84.00). Total present value \$13,619M; stage-weighted NAV = 0.80 x \$13,619M = \$10,895M.



7. Sum of the Parts

Project NAVs are combined with items from the balance sheet, then divided by fully diluted shares.

LINE	TREATMENT
Plus: project NAVs	Stage-weighted NAV of each project with plausible pounds.
Less: remaining capex	Present value of capex not yet spent, discounted at 5%. No credit for spend to date, since NAV measures remaining value.
Less: debt	Face value of debt and convertibles that are not expected to convert at the scenario price.
Plus: cash and securities	Cash, short-term investments and listed equity stakes at market value, after removing any double count with inventory.
Plus: held metal and inventory	Pounds held at the scenario price.
Equity value / shares	Divided by fully diluted shares (options, RSUs and in-the-money convertibles). Option exercise proceeds are not credited.

Table M5. Bridge from project NAV to value per share.

- **Convertibles.** Treated as debt unless the scenario price exceeds the conversion price; in that case the report flags that high-price scenarios may be slightly overstated or adds the shares.
- **Capex double-count risk.** Where AISC already includes sustaining or wellfield capital, only initial pre-production capex is deducted separately. Each report states which.
- **Corporate overhead.** G&A is not deducted in the base case, which overstates value; sensitivity tables show its effect.

8. Conservatism and What Is Valued at Zero

Why the price assumptions are conservative

- **Flat prices.** Each scenario holds the uranium price constant for the whole mine life. We do not apply inflation, term-price escalation or any rise toward incentive prices.
- **Padded costs.** AISC is multiplied by 1.3, which assumes a 30% overrun on every unit cost.
- **Probability-weighted pounds.** Inferred pounds count at 30% and M&I at 65%.
- **Stage haircut.** Every project that is not producing is discounted again by its stage factor.

- **Three price points.** \$85 shows near-term downside, \$100 is the base case, and \$150 is the upside test. They are scenarios, not forecasts.

Why exploration and growth optionality are valued at zero

Value is assigned only where there is a resource estimate we can weight and a cost we can pad. Anything else is carried at zero rather than guessed.

- **No defined resource.** Exploration targets, land packages and unpublished prospects have no pounds to weight.
- **Historical or non-compliant estimates.** Pounds that are not compliant with S-K 1300 or NI 43-101 are excluded. UEC's Sweetwater is an example; it appears only as an illustrative sensitivity.
- **Strategic stakes and side businesses.** Conversion, titanium, recycling and similar activities, and minority holdings without a market value, are not valued unless a listed price exists.
- **Resource growth.** Future drilling success and expansion at higher prices are not credited.

Effect. Zero values understate companies with real option value, and the market may rightly pay for it. Where the share price sits above SOTP at \$100 (UEC, for example), the reports identify the unvalued assets as part of the gap. The base case also omits corporate G&A, which pushes the other way.

9. Jurisdictional Factors

Jurisdiction enters the analysis twice, and the two are kept separate. The Location factor scores the country. The Properties / Ownership factor scores the asset itself, including its quality tier, ownership share and infrastructure.

TIER	RISK LEVEL	COUNTRIES IN THE SPECIFICATION
1	Lowest	Canada, Australia, New Zealand, United States
2	Moderate	Brazil, Guyana, Fiji, Finland, Sweden, Norway
3	High	Mexico, Peru, Chile, Argentina, Colombia
4	Very high	China, Indonesia, Philippines
5	Extreme	Venezuela, South Africa, Russia

Table M6. Jurisdiction table from the Durrett 2.2 specification. A country not listed defaults to Tier 3.

- **Location score.** Tier 1 scores 9 to 10, Tier 2 scores 7 to 8, Tier 3 scores 5 to 6, higher-risk jurisdictions 3 to 4, and high sovereign risk 1 to 2.
- **Analyst overrides.** Where a country is not listed or the table does not fit facts on the ground, we score by judgment and say so. Examples: Namibia scored as Tier 2 (Paladin); Niger scored as Tier 5 after the 2023 coup and export-route closure (Global Atomic).
- **Asset tier versus jurisdiction.** An asset in a Tier 1 country can still be a Tier 3 asset on grade, scale or infrastructure. enCore's Texas ISR assets sit in Tier 1 Texas and score 9 on Location, but are treated as Tier 3 assets for the Properties factor.
- **Permitting risk.** A good jurisdiction does not guarantee permits. Slow or contested approvals, such as Dewey-Burdock's state permits, are handled through the stage factor, sensitivities and red flags.

10. The 10-Factor Scorecard

Each company is scored 1 to 10 on ten equally weighted factors, so the total score is the simple average. A one-sentence rationale and source accompany every score. Scores built on missing data are labeled provisional.

FACTOR	WHAT IT MEASURES	TOP SCORE (9-10) LOOKS LIKE
Properties / Ownership	Resource size and quality, asset tier, ownership	World-class deposit, 100% owned, Tier 1 asset
People / Management	Track record, governance, insider ownership	Proven record, over 25% insider ownership
Share Structure	Fully diluted shares, overhangs, dilution risk	Under 100M shares, minimal dilution
Location	Political stability, permitting, infrastructure	Tier 1 jurisdiction
Projected Growth	Production growth and pipeline	Over 200% growth, multiple projects
Good Buzz / Chart	Price trend, volume, sentiment	Strong uptrend, above 200-week average
Cost / Financing	AISC versus price, financing capacity	AISC under 70% of price
Cash / Debt	Net cash, debt maturities, runway	Debt-to-equity under 20%, 36 months of G&A in cash
Low Valuation Estimate	Enterprise value per resource unit, peer value	Deep discount to peers
Upside Potential	Risk-adjusted upside, timing, SOTP multiple	At least 10x potential at current price

Table M7. Factor definitions from the Durrett 2.2 rubric (abbreviated).

- **Judgment calls** are flagged under each Table 3, typically Management, Share Structure, Buzz, Cash / Debt and Valuation.
- **Red flags.** Every factor scoring below 6 is listed in the Red Flags section with a one-line reason.
- **Radar chart.** Shows the ten scores for a quick view of strengths and gaps.

11. Data Sourcing

TIER	SOURCES	USE
Primary	SEC filings (10-K, 10-Q, 8-K), SEDAR+ filings, NI 43-101 and S-K 1300 technical reports, company news releases, miningdataonline.com	All reserve, resource, cost, cash, debt and share-count inputs wherever available
Secondary	Market-data sites, analyst aggregators, trade press, third-party summaries	Prices, analyst targets and context only; each use is labeled
Assumption	Analyst estimates such as start dates, lives, FX and cost builds	Always labeled and listed in the Input Assumptions Disclosure

Table M8. Source hierarchy. Primary sources are preferred; any secondary input or estimate is marked.

- **Project RAG database.** A consolidated JSON file stores project records (ownership, state, life, AISC, resources) with a last_updated date. Before each report we check for newer company information and highlight any difference rather than overwrite silently.
- **Currency.** Resources older than three years are flagged and reduce the Data Quality Score by one point.

- **Foreign currency.** All values are in U.S. dollars. Conversion rates and dates are stated in each report's footnotes.
- **Provisional marker.** Anything not verified against a primary source carries (prov.) or is listed under Provisional in the Data Quality Audit.
- **Analyst targets.** Aggregator averages are secondary, may be stale and are shown only as a cross-check.
- **Capital raises.** History is built from press releases, 8-K / 6-K filings, MD&A and prospectus supplements; dilution is new shares divided by shares just before the event.

Data Quality Score

Each report ends with a Data Quality Score from 1 to 10: a weighted average of three component scores, weighted 0.5, 0.3 and 0.2. The components are accuracy, source reliability (or hallucination control) and internal consistency (or sycophancy check). It is an internal self-assessment, not an independent audit.

12. Sensitivities and Capital Raise Outlook

- **Sensitivities** change one assumption at a time at the \$100 base price: a haircut to the key asset, a capex overrun, a schedule slip, an equity raise, or a cost increase. Each is labeled analyst assumption.
- **Schedule slip** delays project cash flows by a year; where noted, capex timing is left unchanged.
- **Equity raise** adds new shares at the current price and adds the cash to equity value.
- **Capital raise outlook** gives the probability of a meaningful raise (and of a forced raise) over 18 months by comparing cash and liquidity with remaining capex, burn and obligations. It is analyst judgment, not a sourced forecast.

13. Limitations

- Flat prices ignore the effect of market cycles on both revenue and cost.
- Even production, one cost per pound and one discount rate simplify mine plans.
- The model deducts remaining capex but not all corporate costs, closure liabilities or taxes beyond the 1.3x pad.
- Resource and reserve figures are estimates that can be revised; inferred pounds are speculative.
- Judgment-based items (some scores, stage assignments, start dates, probabilities) can move results materially. Small changes in inputs can produce large changes in output.
- The model is not audited, and the Data Quality Score is a self-assessment.

Important Disclosures

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